

The complaint

Mr H complains about the decision by AXA Insurance UK Plc to decline a claim under his commercial landlord insurance policy.

What happened

Mr H's tenant reported that his shop had flooded, and so Mr H made a claim. AXA appointed a surveyor (that I'll call Company B). They accepted there was some damage, but thought this was due to wear and tear rather than a flooding incident.

AXA turned down the claim as it didn't think Mr H had shown that an insured event had occurred. Mr H therefore appointed a company (that I'll call Company C) to carry out an inspection. They said the floor was saturated, and thought the damage had been caused by a flash flood. AXA maintained its decision to decline the claim, and so Mr H brought a complaint to this service.

Our investigator didn't recommend the complaint be upheld. After considering the evidence, she didn't think there was enough to say that an insured event had happened at the property.

Mr H didn't accept our investigator's findings, and so the matter has been passed to me for a decision.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

The policy covers damage by storm or flood. Flood is defined in the policy as:

"The escape of water from the normal confines of any natural or artificial water course, lake, reservoir, canal, drain or dam. Inundation from the sea. Rain induced run-off. Whether resulting from storm or not."

Mr H said the incident happened on 13 August 2020. Company B carried out an inspection on 16 September 2020. They said the tenant advised them they had found water on the shop floor during storm conditions.

Company B noticed there was long-term water damage to the ceiling and walls of the storeroom, and said the tenant had advised this was due to a previous roof leak many years earlier. Company B thought that damage was consistent with a long-term leak rather than a one-off incident.

Company B said there was evidence of long-term wear and tear to the shop floor, but there was no moisture picked up by the damp meter, and so they didn't think the damage to the shop floor had happened recently. They also said there was no damage to the wall or

skirting boards. Company B thought the damage to the flooring was due to a natural breakdown of materials and not a one-off incident.

Company C carried out an inspection on 24 November 2020. They said there'd been an escape of water from a flash flood that came through the front of the shop causing water damage to the shop floor and walls. They said the supporting data for that was the moisture readings taken which showed the front of the shop floor was saturated. They said the floor did show signs of wear and tear, but the floor was starting to lift due to the ingress of water.

I've checked the weather reports on the date of the reported incident, and I'm satisfied there weren't storm conditions that day. There was some rainfall, though the maximum recorded was only 1.6mm in an hour.

Mr H's tenant didn't take any photos of the flooding incident they say took place. And I haven't seen any other evidence to support that there was any flash flooding in the area, such as media reports or evidence that other shops on that road had experienced flooding too.

Company B took several photos of the shop during their inspection the month after the reported incident. The photos show items of clothing on rails, with the clothing reaching down to the floor. However, my understanding is that none of the stock was damaged, which you might expect if there were flooding. Also, Company B noticed there was no damage to the skirting or the walls, which again, you might expect during a flooding incident.

Company B took moisture readings around a month after the incident, but said there was no evidence of moisture in the floor at the time. I appreciate that Company C did pick up high moisture readings during their inspection, though this took place three months after the reported incident.

I think greater weight should be given to Company B's findings, since their inspection took place closer to the reported incident. They found no evidence of moisture to the flooring, and thought the flooring had suffered from the natural breakdown of the materials rather than a specific insured incident.

Although Company C said the cause of damage had been flash flooding, I would assume this was based on Mr H's own reporting, since there was no other evidence to support that flooding had happened.

I understand that Company C found the flooring to be saturated in November 2020, but I don't know why that was. As far as I'm aware, Mr H didn't report any further flooding taking place between the date of Company B's inspection in September 2020 and the date of Company C's inspection in November 2020.

In order for AXA to accept the claim, the onus is on Mr H to show that there was damage caused by storm or flood (or any other insured peril), but I'm not satisfied he's done so here. He hasn't provided evidence to support that flooding took place at the time of the reported incident, and the evidence from Company B supports that any damage to the shop floor was due to wear and tear rather than a storm or flood.

Although Mr H does have accidental damage cover under his policy, this excludes wear and tear.

I'm therefore not persuaded that Mr H has shown that he has a valid claim covered by the policy, and so I think it was reasonable for AXA to turn down the claim.

My final decision

My final decision is that I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr H to accept or reject my decision before 4 October 2021.

Chantelle Hurn-Ryan
Ombudsman